

Account Value Realization

North-star: Transforming GCS to data-driven account value realization via a single deterministic health score.

Problem Statement: Our Global Customer Services (GCS) organization is transitioning from a traditional upfront Bookings & Total Contract Value (TCV) model into Annual Recurring Revenue (ARR) model with a hybrid Consumption-based business model. GCS leadership is currently debating how to appropriately measure success, incentivize the right behaviors, and compensate account representatives in this new paradigm. Need a new "North Star" metric for the GCS organization that balances initial contract bookings, full deployment of the products' purchased, technically healthy and sustained platform usage over a customer's lifecycle.

Solution: Account Value Realization is the measurement of a customer's success in achieving their desired business outcomes through the usage of the product.

Ask: Endorse a single AVR score per account per month & utilize it to measure “What is technically healthy” and drive QBRs. A three-phase approach to roll out the new north star metrics.

Cost of Anecdote-Driven Account Management.

No single data point answers "Is this account technically healthy?", "What is the product usage?", "Which CSM is driving real value realization"?

Data Points used currently	What does it tell us?	Why is it insufficient?
Health color	Primary health metric relied on a manual entry.	Prone to bias, doesn't reflect actual usage data.
Annual Recuring Revenue (ARR)	Lagging indicator	Only identifies churn after the customer is already lost.
Support Ticket Count	Defect metric	Volume != health; high volume can sometimes mean high engagement.
Consumption	<i>Did the customer achieve their business goal with our product?- that's the actual outcome, only knowable via customer conversations or churn/renewal signal later</i>	A heavy user can still be a churn risk if they aren't achieving goals.
CSM narrative in QBR	Variable across the team	Without a unified health score, we lack a consistent, predictive signal for churn.

- CSMs and Solutions Consultants lack a unified view of success, leading to misaligned efforts and conflicting priorities across teams.
- Leadership cannot objectively compare accounts, books, or regions, preventing the identification of systemic patterns in churn or adoption.
- Without a standardized, evidence-based metric, QBRs remain anecdote-driven exercises that fail to provide actionable insights for customers.
- Current compensation levers reward input activity rather than the actual outcomes or value realized by the customer.

Proposal : AVR Score (Account Value Realization)

Account Value Realization: single score, 0 – 100, per account, per month. By blending consumption patterns, technical stability, and deployment milestones, AVR transforms 'internal health telemetry' into a proxy for the value the customer is actively extracting from their investment.

$$AVR = 100 \times (0.20 \cdot D + 0.30 \cdot C + 0.25 \cdot T + 0.15 \cdot R + 0.10 \cdot B)$$

Component	Weight	Measured By	Calculated As	Customer’s Definition of Value
Deployment {D}	20%	Onboarding milestones hit on time; shelfware penalty	$D = \min(1.0, \text{credits_last_month} / \text{included_monthly_credits})$	Customer operationalized what they bought on the timeline they planned and the scale they committed to.
Consumption Sustainability {C}	30%	Sustained usage	$C = \max(0, \min(1, 1 - \text{CV}(\text{daily_usage_90d})))$	Stability of daily usage vs purchased.
Technical Health {T}	25%	CSM sentiment × age-weighted ticket load × 30-day trend	$T = 0.55 \cdot T_color + 0.30 \cdot T_tickets + 0.15 \cdot T_trend$	Platform is reliable, stable, and responsive.
Retention Signal {R}	15%	Historical renewal	$R = 1.00 \text{ if } > 180 \text{ d}, 0.75 \text{ if } 60\text{--}180 \text{ d}, 1.00 \text{ or } 0.25 \text{ if } < 60 \text{ d} (0.25 \text{ iff Red in last } 30 \text{ d}), \cdot 0.00 \text{ if expired}$	Long-term commitment is validated by consistent, positive engagement.
Bookings Realization {B}	10%	Time-to-value ramp on new bookings	$B = \min(1.0, \text{credits_ytd_contract} / (\text{included_monthly_credits} \times \text{months_in_contract}))$	Solution purchased is being implemented effectively to meet the Time-to-Value goals.

The Science of 'Account Value Realization'

- **Deployment - 20%** : No onboarding = No adoption. This component tracks milestone attainment to ensure the solution is actually stood up. We use this because without successful onboarding, a customer cannot begin the journey toward value realization, effectively treating "shelfware" as a critical failure.
- **Consumption - 30%** : Sustained usage is the strongest *leading* indicator of renewal + expansion. It is our primary weight because sustained, steady interaction with the product is the strongest leading indicator that a customer has integrated our platform into their daily business operations.
- **Technical Health - 25%**: Catches deterioration weeks before it hits usage. This serves as a leading diagnostic indicator, blending current CSM sentiment (55%), severity-weighted ticket volume (30%), and the 30-day change in health (15%). We reason that technical friction is a "silent killer" of value, and this metric identifies deterioration weeks before it results in a churn event
- **Retention - 15%** : This leverages historical renewal and churn data as a predictive anchor. We include this because past behavioral patterns in renewal are slow-moving but statistically significant indicators of a customer's long-term commitment to our partnership.
- **Bookings - 10%**: This measures the ramp-up velocity of new bookings relative to the contract. We assign this the lowest weight because it confirms the customer was "sold right" and is achieving their initial Time-to-Value (TTV) goals, rather than measuring their ongoing operational health

From Insight to Action: The AVR Dashboard Advantage

- **Proactive Risk Mitigation:** Identify accounts trending toward the "Red" band ($AVR < 50$) in real-time, allowing CSMs to address technical or adoption friction weeks before a renewal is at risk.
- **Data-Driven Lever Identification:** Drill down into the five component scores to determine exactly which factor such as deployment or technical health moved the score MoM, enabling CSMs to have precise, evidence-based conversations with their customers.
- **Targeted Expansion Campaigns:** Automatically surface high-performing accounts ($\geq 90\%$ of allotment) nearing their renewal date (≤ 180 days) to prioritize outreach for ARR growth.
- **Objective CSM Coaching:** Use the sortable, band-colored leaderboard to identify which CSMs are driving strong value realization, and which ones require additional enablement or support.
- **Streamlined QBR Execution:** Replace manual, hours-long spreadsheet preparation with a standardized, 30-second scan that provides a unified view of contract health, ticket trends, and usage metrics.

AVR Dashboard: Operationalizing the North-Star



Phase 1 : Shadow Launch - Conduct a 1- quarter (FY27Q1) shadow period with weekly reporting restricted to VPs to calibrate Green/Yellow/Red thresholds against real-world churn and expansion outcomes.



Phase 2: CSM rollout – (FY27Q2) Dashboard opens to CSMs; QBRs anchored on AVR *alongside* current metrics.



Phase 3: Compensation redesign - (FY27Q3) Propose a compensation redesign that ties 25% of variable pay to measurable AVR band improvements (e.g., Red-to-Yellow transitions), while keeping 75% tied to existing ARR metrics.



1. Endorse AVR as GCS's north-star metric.



2. Approve the 1- quarter shadow period.



3. Identify & Appoint an executive sponsor to lead the compensation redesign committee.

AI-first approach to build North Star Metrics



Spec-Driven Governance: All logic was codified in ~1,600 lines of formal specifications drafted prior to development, ensuring the model remains transparent and objective.



High-Fidelity Validation: The implementation is hardened by 104 dbt data tests and 26 rigorous QA assertions, guaranteeing production-ready accuracy.



Deterministic Reproducibility: By utilizing a fixed execution seed (42), we can regenerate 12,967 account-month rows providing an auditable trail for every metric.



AI-Accelerated Velocity: AI was employed to rapidly iterate on the pipeline architecture, while maintaining strict adherence to the underlying technical specifications.



Scalable Framework: This methodology is fully portable and repeatable, providing a secure, governed foundation to carry us through future threshold calibrations and beyond.

Thank you, Questions?

